ASM Technologies Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Bengaluru engineering firm that designs and then builds custom, high-precision equipment, sub-systems and parts for global makers of semiconductor, electronics, solar and heavy-vehicle machinery. It earns from engineering design services (ER&D) and, increasingly, from building what it designs (design-led manufacturing, DLM).

Number	Value	What it means
Market cap	Rs 9,175 cr	What the whole company is worth on the market today.
Stock P/E	110	Investors pay about 110 years of current profit, so a lot of future growth is already in the price.
Q2 FY27 sales	Rs 221 cr (Screener) / Rs 268 cr consolidated	Up well over half from a year ago; sales have grown every quarter at a fast clip for two years.
Operating margin	21-23%	About a fifth of sales left after running costs, higher than a year ago.
ROCE / ROE	26% / 24%	Good returns on the money put into the business.
Receivables	Rs 247 cr, up from Rs 116 cr in March	Customers owe it twice as much as six months ago, so cash from operations turned negative in H1.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY26	10 Nov 2025	Yes, read in full (first-ever call)
Q3 FY26 to Q2 FY27	n/a	No transcript on Screener; latest results taken from results presentation coverage

Only one concall has ever been held or published, so the consistency read is limited. The latest quarter (Q2 FY27, Sep 2026) comes from the results presentation and filings.

Latest update highlights - Q2 FY27 (Sep 2026 results, from the results presentation)

- Consolidated revenue about Rs 268 cr, up about three quarters from a year ago; operating profit up nearly double.
- Operating margin rose to 22% from about 20%, but profit after tax grew slower because of higher interest, tax and a minority partner's share.
- Manufacturing (DLM) is now about three quarters of sales; exports were about a third of the quarter's sales.
- Raised Rs 526 cr from SBI Mutual Fund and other investors in October to build new plants, fund acquisitions and cut debt.
- Receivables doubled in six months and borrowings rose, so operating cash flow went negative for the half.

Business mix & capacity

Domestic vs export: Domestic about 68% / Exports about 32% of Q2 FY27 sales (H1: 76% / 24%). Most customers are global companies, often buying through their Indian arms.

Capacity use: Utilisation not disclosed. Seven manufacturing sites now; MoUs signed with Karnataka (Rs 510 cr) and Tamil Nadu (Rs 250 cr) for new plants, 18-24 months after land is allotted.

3. Earning Trigger thesis

The trigger is the eight-year pivot from pure design services into building the equipment it designs, for global semiconductor, electronics and solar-equipment makers moving supply to India. That shift is already in the

numbers: manufacturing went from a small slice to three quarters of sales, and margins held. The next leg is new plants in Karnataka and Tamil Nadu, funded by the October fundraise.

Trigger	What management said	Evidence so far	Time horizon	Strength
Design-led manufacturing	Pivot from ER&D to DLM will keep scaling; 18-24 months of rolling visibility (Nov 2025)	Sales up strongly each quarter, DLM now about 75% of sales	Now	Strong: already showing in results
New plants (Karnataka, Tamil Nadu)	Rs 760 cr of MoUs; 18-24 months after land	Rs 526 cr raised Oct 2026; land status not disclosed	FY28-FY29	Unproven: not built yet
Solar equipment JV (ASM-HHV)	Separate plant, first deliveries late 2025 or early 2026	No update found	FY27	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Fundraise use includes debt reduction, but debt rose in H1
New business	Yes	Solar-equipment JV and stakes in Asmaitha Wireless and Myelin Foundry (Feb 2026)
Margin up	Yes	Operating margin up to 22% from about 20% (Q2 FY27 presentation)
New management	No	Not mentioned
New capacity	Yes	MoUs to invest Rs 510 cr in Karnataka and Rs 250 cr in Tamil Nadu (Nov 2025 call)
Big orders	No	No order book disclosed; only 18-month visibility claimed
Turnaround	No	Already profitable
Promoter buying	No	Oct 2026 preferential issue went to non-promoter investors

The single concrete driver: Building the custom machines and sub-systems it designs for global semiconductor, electronics and solar-equipment makers, now about three quarters of sales.

3c. Margin bridge

Operating margin rose to about 22% from about 20% a year ago as volumes grew over a fixed engineering base and the mix held up. Management only says recent quarters are representative. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY26 (Nov 2025)	Growth momentum to continue in H2 FY26 and beyond; no numeric guidance	Sales kept growing fast through Q2 FY27	Delivered
Q2 FY26	Solar JV deliveries late 2025 or early 2026	No update in public material	Too-early
Q2 FY26	Land for Karnataka and Tamil Nadu plants; 18-24 months build	Money raised Oct 2026; build not started publicly	Too-early

Narrative drift: Only one call, so little to drift from. The story (pivot to manufacturing, India as a supply hub for global equipment makers) matches the numbers since. Management refuses guidance, customer names and segment numbers, which makes it hard to check promises.

5. Bottom line

Durable earning trigger? → YES

The shift into design-led manufacturing is real and visible: sales and operating profit keep climbing and the mix moved to manufacturing without hurting margins. The new plants and solar JV are still to come, and the stock already prices a lot of it in.

Management consistent? → MAYBE

What little management said has held up, but there is only one call, no guidance, and receivables doubled in six months. Too thin a record to call consistent yet.

6. Checkpoints for next quarter

- Sales keep growing on last year with margin holding near current levels
- Receivables stop rising faster than sales
- Land allotted for the Karnataka or Tamil Nadu plant

This is not investment advice. Do your own due diligence.